

INTERNAL AUDIT REPORT

Procurement Compliance Audit | Report No. AR-02334

Report ID:	AR-02334
Audit Type:	Procurement Compliance Audit
Report Date:	February 21, 2025
Audit Period:	2024-04-22 to 2025-02-03
Lead Auditor:	Brenda Smith (EMP-29220)
Reviewed By:	Michael Vaughn (EMP-7866)
Primary Vendor Reference:	XpressCore Dynamics International (VND-02719)
Subject Employee Reference:	Alexandra Pope (EMP-RM1422)
Primary Transaction Reference:	TXN-EXT-000658
Overall Risk Rating:	CRITICAL

1. EXECUTIVE SUMMARY

This procurement compliance audit covered the period 2024-04-22 to 2025-02-03 and examined transactions, approvals, and compliance records associated with vendor XpressCore Dynamics International (VND-02719) and employee Alexandra Pope (EMP-RM1422). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **CRITICAL**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-EXT-000658 (amount 2,410.67 AUD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-000651	LOW	MISSING RECEIPT	Employee EMP-83584 submitted 5 claims totalling \$14,682 without receipts in the review period.
FND-000325	MEDIUM	FRAUD PATTERN	Employee EMP-45505 submitted 5 expense claims within 72 hours for identical amounts — potential duplicate fraud pattern.

Finding ID	Severity	Category	Description
FND-003768	MEDIUM	MISSING RECEIPT	Expense claim EXP-121644 submitted for Consulting without an attached supporting receipt.
FND-000634	HIGH	APPROVAL LIMIT	Escalation protocol was bypassed. Transaction valued at \$491,805 was approved at L1 without L3 countersignature.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-003627	COMPLIANCE RECORD	EVD-JFH-4637	0.80
EVI-005829	VENDOR RECORD	EVD-AFV-1744	0.76
EVI-005849	VENDOR RECORD	EVD-QAL-8667	0.91
EVI-006064	EXPENSE CLAIM	EVD-KEI-2090	0.64
EVI-006133	EXPENSE CLAIM	EVD-OCW-4814	0.68
EVI-006509	VENDOR RECORD	EVD-KQK-9962	0.79

5. RECOMMENDATIONS

- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Restrict post-termination system access to prevent ghost Approver scenarios.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Brenda Smith	EMP-29220	2025-02-21
Reviewing Officer	Michael Vaughn	EMP-7866	2025-02-23